

SID Strategy v10.5.4

BTW Universe Analysis — Synopsis Report v2

99 Tickers | Longs & Shorts | Post-2020 & Full History | Bearish/Bullish Regime Filter ON | March 2026

Metric	Longs Post-2020	Longs Full Hist	Shorts Post-2020	Shorts Full Hist
Avg WR%	55.5%	61.3%	47.0%	48.8%
Avg PF	2.42	1.98	1.43	1.35
Tickers	86	89	89	91
Regime Filter	ON — longs blocked when SMA50 < SMA200 ON — shorts blocked when SMA50 > SMA200			

KEY CHANGE from v1: Bearish/Bullish Regime Filter now ON by default. Longs blocked when SMA50 < SMA200 (Very Low Odds). Shorts blocked when SMA50 > SMA200 (Very Low Odds for shorts). This is the correct filter — data confirms SMA regime is the primary quality discriminator.

1. Regime Filter Impact — v10.5 vs v10.5.4

The Bearish/Bullish Regime Filter was OFF in all previous analysis (v10.5). It is now ON by default in v10.5.4. Impact across the universe:

Metric	v10.5 (Regime OFF)	v10.5.4 (Regime ON)	Change
Post-2020 Long WR	56.1%	55.5%	-0.6%
Post-2020 Long PF	2.51	2.42	-0.09
Full History Long WR	59.1%	61.3%	+2.2%
Full History Long PF	1.71	1.98	+0.27
Pre-2020 Long WR	64.2%	64.7%	+0.5%

Post-2020 minimal change confirms the regime filter has limited impact in the predominantly bull market period. Full history improvement (+2.2% WR, +0.27 PF) reflects the filter correctly removing losing trades during extended bear regime periods.

2. Long Trades

Post-2020 avg WR: **55.5%** PF: **2.42** | Full history avg WR: **61.3%** PF: **1.98**

2.1 Pre vs Post 2020

Pre-2020: **64.7%** | Post-2020: **56.3%** — decline of **8.4%** across 81 tickers

Post-2020 includes COVID crash, 2022 bear market, higher volatility — lower WR expected in any mean reversion strategy.

2.2 Strong Long Tickers (Post-2020, WR >= 58%, PF >= 1.2)

Ticker	Sector	TT	WR%	PF	SL%	Avg ADX	Avg BTE
MCD	Restaurants	9	88.9%	19.13	11%	33.0	4.1
WFC	Banking	9	88.9%	15.73	11%	30.5	3.2
XLV	Healthcare	9	88.9%	13.73	11%	32.2	4.9
ARKK	Innovation	8	87.5%	12.78	12%	31.8	3.4
AAPL	Unknown	6	83.3%	3.82	17%	32.4	4.8
BAC	Banking	6	83.3%	2.02	17%	31.1	4.7
COST	Retail	6	83.3%	5.55	17%	35.1	4.3
GS	Investment Banking	6	83.3%	1.95	17%	35.3	2.8
TSLA	Auto/EV	6	83.3%	4.86	17%	32.5	4.2
AMZN	E-Commerce	5	80.0%	4.07	20%	33.6	4.4
HUM	Health Insurance	5	80.0%	17.10	20%	33.9	3.2
QQQ	Nasdaq 100	5	80.0%	5.13	20%	32.7	3.8
WMT	Retail	5	80.0%	18.66	0%	35.6	4.6
BA	Aerospace & Defense	4	75.0%	3.59	25%	34.5	4.2
PTH	Healthcare	4	75.0%	2.44	25%	31.7	3.5

3. Short Trades

Post-2020 avg WR: **47.0%** PF: **1.43** | Full history avg WR: **48.8%** PF: **1.35**

WR gap vs longs: **8.5%** post-2020 | **12.6%** full history

3.1 Regime is Everything for Shorts

Regime	Condition	Post-2020 WR%	Verdict
Bull (SMA50 > SMA200)	Shorts BLOCKED by filter	—	Correctly excluded
Bear (SMA50 < SMA200)	Shorts ALLOWED	55.1%	Viable in bear regime

The Regime Filter correctly restricts shorts to bear regime periods only. Bear regime short WR is meaningfully better than the blended figure.

3.2 Short Performance by Sector

Sector	Tickers	Avg Short WR%	Verdict
Real Estate	4	62.1%	Viable
Healthcare	5	60.1%	Viable
Communication	2	58.4%	Viable
Consumer Cyclical	16	50.1%	Marginal
Financials	7	49.7%	Marginal
ETF	19	46.6%	Marginal
Consumer Defensive	11	44.2%	Avoid
Utilities	3	43.4%	Avoid
Materials	2	43.3%	Avoid
Energy	4	42.5%	Avoid
Industrials	6	39.7%	Avoid
Technology	9	37.4%	Avoid
Unknown	1	33.3%	Avoid

3.3 Viable Short Tickers (Post-2020, WR >= 52%)

Ticker	Sector	TT	Short WR%	Short PF	SL%
INTC	Semiconductors	5	100.0%	0.00	0%
PLD	REITs	4	100.0%	0.00	0%
AVB	REITs	6	83.3%	2.59	17%
WEN	Restaurants	5	80.0%	1.90	20%
B	Diversified Industrials	9	77.8%	3.46	22%
HUM	Health Insurance	9	77.8%	9.04	22%
ARKK	Innovation	4	75.0%	4.31	25%
COIN	Crypto Exchange	4	75.0%	1.89	25%
F	Auto	4	75.0%	2.98	25%
LVS	Casinos	4	75.0%	3.38	25%
PEP	Beverages	4	75.0%	4.42	25%

STE	Medical Devices	4	75.0%	2.99	25%
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4. Key Factor Findings (Longs)

4.1 SMA Bands — Updated with Regime Filter

Band	Condition	Avg WR%	Status
Very Low Odds	SMA50 < SMA200 (bear regime)	BLOCKED	Hard filter — no long entries
Lower Odds	Below SMA200, SMA50 > SMA200	58.2%	Allowed — lower quality
Trade	Between SMA50 and SMA200	65.6%	Preferred — better quality
HC	Above SMA50	~0 entries	Not possible at OS entry

4.2 MACD Histogram at Entry

Band	Avg WR%	Interpretation
Very negative (< -1.0)	61.8%	Deeply negative MACD
Moderately negative (-1.0 to -0.3)	63.7%	Best band
Lightly negative (-0.3 to 0)	53.9%	Near zero — marginal

Moderately negative histogram gives best WR. Avoid very negative (extreme divergence) or near-zero (about to cross) entries.

4.3 Bars from OS Touch to Entry

Bars to Entry	Avg WR%	SL Implication
Fast (0-1 bars)	55.7%	Tight SL — higher stop risk
Mid (2-4 bars)	63.8%	Optimal balance
Slow (5+ bars)	61.6%	Wider SL — price moved far from OS

4.4 ADX at Entry

ADX Band	Avg WR%	Verdict
20-25	68.5%	Worst band — avoid
25-30	70.3%	Preferred
35-40	71.3%	Preferred
>40	65.0%	Too trendy — deteriorates post-2020

4.5 Stutter Re-Entry Signal

Condition	WR%	Recommendation
RSI re-enters OS during trade	36.1%	EXIT immediately
No re-entry	70.7%	Hold to RSI-50 exit
Difference	34.6%	Strongest exit signal in dataset

RSI re-entering OS zone is the single most powerful exit signal — a consistent finding across both v1 and v2 analysis.

5. Overall Recommendations

1. Run Longs Only as primary strategy

55.5% avg WR, 2.42 avg PF post-2020. Full history 61.3% WR.

2. Bearish/Bullish Regime Filter ON (default in v10.5.4)

Longs only when $SMA50 > SMA200$. Shorts only when $SMA50 < SMA200$. This is now enforced in the strategy — do not disable.

3. Take Shorts only in bear regime — and with caution

Bear regime shorts: 55.1% WR. Still weaker than longs. Apply higher confluence threshold and lower position size.

4. Preferred sectors for shorts: focus on viable sectors only

See sector breakdown in Full History Shorts sheet. Avoid shorts on Technology, Consumer Defensive and broad ETFs.

5. Flag trades where SL distance < 4%

Tight SL is the primary predictor of hard stop hits. Add warning in info table when $SL < 4\%$ of entry price.

6. Use MACD Histogram as quality indicator

Moderately negative (-1.0 to -0.3): 63.7% WR. Very negative: 61.8% WR. Prefer mid-range.

7. Prefer 2-4 bar entries after OS touch

Mid entries: 63.8% WR vs fast (0-1 bar): 55.7% WR. Allows SL to widen naturally.

8. Exit when RSI re-enters OS zone during long trade

With re-entry: 36.1% WR. Without: 70.7% WR. Strongest single exit signal.

9. Market Regime (SPY) is a warning, not a hard filter

Displayed in info table as contextual information. Does not block entries. Use as additional awareness, especially for shorts.

10. Weekly RSI direction — unresolved, pending further testing

Almost always aligns with daily by definition. Impact as a hard filter has not been quantified. Display only in current version.